BARNYARD TEMPLATES

Budgeting & Debt Payoff Planner

Take control of your money

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01. What Is Zero-Based Budgeting?

Zero-based budgeting means every dollar you earn is allocated somewhere intentionally: savings, debt, expenses, or goals. It's not about restriction—it's about control. You decide where your money goes instead of wondering where it went. Most people have "invisible" spending: subscriptions they forgot, small purchases that add up. Budgeting makes spending visible.

02. The Budget Worksheet

Income: Write your net (take-home) income. Fixed expenses: rent, utilities, insurance, minimum debt payments. Variable expenses: groceries, gas, personal. Goals: savings, extra debt payments. Rule: Income = Fixed + Variable + Goals. If they don't match, cut variable expenses or increase income.

Monthly Budget Template

________ NET MONTHLY INCOME
________ Rent/Housing
________ Utilities & Insurance
________ Groceries & Dining
________ Transportation
________ Debt Minimums
________ Savings & Goals
________ Personal/Misc
________ TOTAL = should equal income

03. Debt Payoff Comparison: Snowball vs. Avalanche

Snowball: Pay smallest balance first, then next smallest, etc. Psychological effect—quick wins build momentum. Takes slightly longer, costs more interest. Example: $5K CC, $8K personal loan, $20K student loan. Pay $530/month ($150 min + $380 extra) to CC first. After 10 months, CC is gone. Apply $530 to personal loan. Feels great—psychological momentum matters.

Avalanche: Pay highest interest rate first, then next highest. Mathematically optimal—saves the most money. Requires discipline; takes longer to see results. Same debts: Target the 24% CC first (even if it's not the smallest). After it's gone, hit the 8% loan. Saves money on interest vs. snowball.

04. Worked Example: Sample Debt Payoff

Debts: Credit Card ($5,000, 24% APR, $150 min), Personal Loan ($8,000, 8% APR, $180 min), Student Loan ($20,000, 5% APR, $200 min). Extra payment available: $200/month.

Snowball route: Pay $530/month to CC ($150 + $380 extra). Months to payoff: ~10. Total interest paid: ~$1,200. Then apply $530 to personal loan. Months to payoff: ~16. Total interest: ~$2,100. Total payoff time: ~26 months.

Avalanche route: Pay $530/month to CC (24% rate). Months to payoff: ~10. Total interest: ~$1,100 (slightly less). Apply $530 to personal loan. Months to payoff: ~15. Interest: ~$1,900. Total payoff time: ~25 months (saves 1 month and ~$300).

Takeaway: Avalanche saves money; snowball saves sanity. Pick whichever you'll actually stick with.

05. Irregular Income: For Freelancers & Gig Workers

Budget based on your lowest-earning month, not average. If you make $3K-$7K monthly, budget at $3K. Use higher months for savings or debt acceleration. Example: Budget $3,000 month. Good month ($6,000)? Put extra $3K into "irregular income fund" or attack debt. This creates a buffer for lean months and prevents over-committing on fixed expenses you can't cut.

06. Key Budgeting Principles

1. Track everything for one month. You'll discover invisible spending. Coffee, subscriptions, small purchases—they add up.
2. Minimum payments keep you treading water. Extra payments move you forward. Even $50/month extra makes a difference.
3. Emergency fund comes before debt attack. One car repair derails your plan if you have zero cushion.
4. Build irregular expenses into your budget. Car maintenance, gifts, medical—expect them or they'll derail you.

5. Revisit your budget every 3 months. Life changes. Your budget should too.

07. Quick Reference: Payoff Formula

Monthly interest = (balance × annual rate ÷ 12). Each extra payment reduces balance directly, cutting future interest. Cutting just one subscription ($15/month) saves $180/year and can cut 1-2 months off debt payoff.

08. Worksheet: Your Debts

Debt name: ______________ Balance: $_______ APR: ____% Min payment: $_______ Date to be debt-free (goal): _______